



INSURANCE AND PENSIONS COMMISSION
LIFE ASSURANCE SECTOR REPORT
FOR THE QUARTER ENDED 31 MARCH 2020



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- iv. Please Note: All Monetary Figures are in ZWL\$ except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD were converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 2019.
- v. All amounts in this report are in nominal terms and in ZWL\$000, except where specifically stated to be in real terms.

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1. Executive Summary

1.1 As at 31 March 2020, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reinsurance companies and 1419 agents.

1.2 Gross premium written (GPW) for direct life assurance companies for the quarter ended 31 March 2020 stood at ZWL\$578 million, representing a nominal increase of 426% from ZWL\$110 million reported in the comparative period in 2019.

1.3 The increase in GPW for the reporting period was mainly due to significant increase in premiums from funeral and fund business classes. Growth in GPW in the above-mentioned classes was mainly driven by premium increases in response to exchange rate induced inflation.

1.4 However, the growth in GPW was below the increase in year-on-year inflation, which stood at 676.39% as at 31 March 2020.

1.5 GPW for life reassurers grew by 435% from ZWL\$2.1 million reported for the quarter ended 31 March 2019 to ZWL\$11.3 million for the quarter ended 31 March 2020.

1.6 On inflation adjusted basis the GPW for direct life assurers experienced negative growth of 32.27% from ZWL\$109.86 million for the quarter ended 31 March 2019 to ZWL\$74.41 million for the quarter ended 31 March 2020.

1.7 In real terms the growth in GPW for life reassurers was negative at 31.05% from ZWL\$2.12 million reported for the quarter ended 31 March 2019 to ZWL\$1.46 million for the quarter ended 31 March 2020.

1.8 As at 31 March 2020, nine (9) out of twelve (12) life assurance companies and two (2) of the four (4) life reinsurance companies reported capital positions which were compliant with the minimum

capital requirements of ZWL\$75 million and ZWL\$112.5 million respectively.

1.9 The capital positions were, however, based on unaudited returns, with no adjustments made for inadmissible assets as required by Statutory Instrument 95 of 2017.

1.10 Players are encouraged to hold adequate capital so as to increase resilience to market and economic shocks, which may result in an increase in claims or supply chain disruptions. These shocks may emanate from pandemics such as COVID-19 (Coronavirus).

1.11 Adequate capitalisation of the sector is important for a strong insurance sector, for the protection of policyholders' interests and socio-economic development.

1.12 For the quarter ended 31 March 2020, direct life assurers recorded a 55% nominal growth in total assets from ZWL\$13.7 billion as at 31 December 2019 to ZWL\$21.2 billion as at 31 March 2020.

1.13 Growth in assets was mainly attributable to the strong performance by equity investments on the Zimbabwe Stock Exchange.

1.14 The asset base for composite reassurers grew by 74.01% from ZWL\$190.77 million as at 31 December 2019 to ZWL\$331.96 million as at 31 March 2020.

1.15 In real terms, both direct life assurers and life reassurers experienced positive growth of 22.66% and 37.46% respectively in their asset bases. This indicates that growth in assets managed to outstrip the increase in inflation thus protecting the value of their asset portfolios.

1.16 As at 31 March 2020, the average prescribed ratio for life assurers and life reassurers stood at 9.90% and 1.16% respectively.

1.17 All direct life assurance companies

and life reinsurance companies were not compliant with the minimum prescribed asset ratio of 15%.

1.18 All the non-compliant entities have since submitted prescribed assets compliance plans at the instigation of Commission. The Commission is closely monitoring implementation of the compliance plans to ensure compliance in terms of Statutory Instrument 206 of 2019.

1.19 In terms of profitability the life assurance sector reported nominal profit after tax of ZWL\$6.37 billion for the quarter ended 31 March 2020, up from a loss of ZWL\$0.46 billion reported in the comparative quarter of 2019.

1.20 The after tax profit for life reinsurers grew by 10, 979% from ZWL\$0.23 million reported for the quarter ended 31 March 2019 to ZWL\$25.46 million for the quarter ended 31 March 2020.

1.21 In real terms, profit after tax for the life assurance sector and life reinsurance sector grew by 431.44% and 1325.66% respectively (See table 1 below).

1.22 The increase in profit after tax for both the life assurance sector and the life reinsurance sector is mainly attributable to high investment returns from revaluation gains on equity investments.

1.23 Table 1 below shows the summary of key financial indicators.

Table 1: Financial Indicators

Financial aspect	Life Assurance				Life Reinsurers			
	Mar-20	Mar-20 Inflation adjusted	Mar-19	Growth (Inflation adjusted)	Mar-20	Mar-20 Inflation adjusted	Mar-19	Growth (Inflation adjusted)
GWP (ZWL\$000)*	577,681	74,406	109,857	-32.27%	11,354	1,462	1,462	-31.05%
NWP (ZWL\$000)	570,353	73,462	108,052	-32.01%	8,262	1,064	1,064	-43.21%
claims (ZWL\$000)	243,321	31,340	48,747	-35.71%	2,230	287	287	-46.61%
Management operating expenses (ZWL\$000)	209,948	27,042	28,074	-3.68%	1,988	256	256	-27.05%
Commissions (ZWL\$000)	26,606	3,427	4,743	-27.75%	2,262	291	291	-43.32%
Technical costs (ZWL\$000)	479,875	61,808	81,564	-24.22%	6,480	835	835	-40.51%
Technical Profit (ZWL\$000)	104,757	13,493	33,541	-59.77%	1,762	227	227	-51.82%
Profit after tax (ZWL\$000)	6,373,386	820,900	-247,677	431.44%	25,458	3,279	3,279	1325.66%
Financial aspect	Mar-20	Mar-20 Inflation adjusted	Mar-19	Growth (Inflation adjusted)	Mar-20	Mar-20 (Inflation adjusted)	Mar-19	Growth (Inflation adjusted)
Total Assets (ZWL\$000)*	21,229,594	16,770,356	13,672,117	22.66%	331,957	262,230	190,774	37.46%
Total Liabilities (ZWL\$000)	17,258,607	13,633,468	11,166,772	22.09%	157,754	124,618	87,262	42.81%
Capital (ZWL\$000)	3,970,983	3,136,885	2,505,347	25.21%	174,203	137,612	103,512	32.94%
Capital to liability ratio	23.01%	N/A	22.44%	0.57%	110.43%	N/A	118.62 %	-8.19%
Prescribed assets (ZWL\$000)	2,101,212	1,659,856	1,427,744	16.26%	3,851	3,042	16,301	-81.34%
Prescribed assets ratio %	9.90%	N/A	10.44%	0.54%	1.16%	N/A	8.54%	-7.38%

*Income statement figures were adjusted using year on year inflation of 676.39% reported for the month of March 2020. Source: <https://www.rbz.co.zw/index.php/research/markets/inflation>
Balance sheet figures were adjusted using year on year inflation of 25.6% reported for the month of March 2020. Source: <https://www.rbz.co.zw/index.php/research/markets/inflation>



2. The Insurance and Pensions Commission at Glance

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This report outlines industry developments and IPEC's various activities in the pensions industry consistent with its statutory mandate for the 3 months ended 31 March 2020.

3. Terms of Reference

The activities of the Commission are guided by the following acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21];
- Pension and Provident Funds Act [Chapter 24:09];
- Insurance Act [Chapter 24:07];
- Money Laundering and Proceeds of Crime Act [Chapter 09:24];
- Finance Act [Chapter 23:04];
- Public Entities and Corporate Governance Act [Chapter 10:31];
- Public Finance Management Act [Chapter 22:19]; and
- Public Procurement and Disposal of

Public Assets Act [Chapter 22:23].

4. Industry Architecture

4.1 As at 31 March 2020, there were 12 registered life assurers and 4 registered life reassurers' under the supervision of the Insurance and Pensions Commission (IPEC). Grand Re seized to write business in 2017.

4.2 Life assurers had 1419 agents comprising both corporate agents and individual agents as shown in the table below.

Table 2: Distribution of Agents, staff and branches across Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE						
Name Of Company	Corporate Agents		Sole Agents		Staff	Branches
	Mar-19	Mar-20	Mar-19	Mar-20	Mar-20	Mar-20
CBZ Life	3	3	52	36	57	0
Doves	0	0	0	90	72	26
Econet Life	0	0	0	0	21	1
Evolution Health and Life	0	0	0	0	30	8
Fidelity Life	0	0	45	76	99	11
First Mutual Life	0	0	216	216	198	9
Nhaka Life	1	0	56	31	10	6
Heritage Life	0	0	21	21	16	3
Nyaradzo Life	10	7	303	313	1133	47
Old Mutual Life	8	12	236	200	229	2
ZB Life	0	0	233	162	57	21
Zimnat Life	0	0	252	252	86	5
Total	22	22	1414	1397	2008	139

4.3 The number of agents for the life assurance sector decreased by 17 agents from 1414 agents reported as at 31 March 2019 to 1397 reported as at 31 March 2020.

5. Economic Overview

World and Regional Economic Outlook

5.1.1 The World economy has drastically changed since the outbreak of the coronavirus pandemic in November 2019. As jurisdictions implement necessary quarantines and social distancing practices under national lockdowns to contain the pandemic, the global economy has been put in a Great Lockdown which appears worse than the 2008 Global Financial Crisis.

5.1.2 The global economy is projected to contract by 3% as a result of the Covid 19 pandemic (IMF World Economic Outlook, April 2020) compared to the initial 3.4% growth projection of October 2019 (IMF World Economic Outlook).

5.1.3 The negative global economic growth projection is being driven by a slowdown in economic activity on the back of mandatory Governments and World Health Organisation (WHO) Covid-19 induced lockdowns across jurisdictions.

5.1.4 Advanced economies are projected to contract by 6.1% while emerging markets and developing economies are projected to contract by 2.2% (including China) and 1% (excluding China).

Sub-Saharan Africa

5.2.1. Sub-Saharan African economies are projected to contract by 1.6%, which is 5.2% lower than the 3.6% growth initially projected in the October 2019 IMF World Economic Outlook. The World Bank estimates that 2020 will mark Sub-Saharan Africa's first recession in 25 years.

Domestic Economic Outlook

5.3.1 Zimbabwe's economy is projected to contract by 7.4% in 2020 from an initial growth projection of 0.8% (IMF). The economic downturn is projected in the wake of economic uncertainties characterised by liquidity challenges, weak domestic demand, low commodity prices, low production due to Covid-19 induced lockdown, loss of income, below-normal agricultural production on account of drought and increasing inflation.

5.3.2 The economy is also projected to be adversely affected by low activity in tourism as a result of the extensive travel restrictions. The country is, however, anticipated to rebound in 2021 to a small growth of 2.5%.

Currency Reforms

5.4.1 The restoration of the monetary policy autonomy following the abandonment of the multi-currency system and the re-introduction of a mono-currency in 2019, has ignited exchange rate induced inflationary pressures and depreciation of the local currency against other vehicle currencies.

5.4.2 The gazetting of S.I 85 of 2020 facilitated the use of foreign currency by holders of free funds during the Covid-19 lockdown. While the S.I. provided flexibility to consumers to use free funds during this period, some business entities have proceeded to exclusively charge their goods and services in foreign currency in violation of S.I. 142 of 2019.

5.4.3 The insurance and pensions industry have not been spared from the prevailing inflationary environment with most economic agents now opting for foreign

currency-denominated policies as opposed to Zimbabwe dollar-denominated policies as they seek to guard against regular review of sums insured. Similarly, employers who are paying salaries and pension contributions in foreign currency have made a call for the payment of benefits in the corresponding currency in which contributions would have been made.

Exchange Rate and Inflation Developments

5.5.1 The local currency has consistently depreciated against major currencies notably the United States dollar since the introduction of currency reforms. The exchange rate depreciated from RTGSZWL\$2.5 in February 2019 to the current ZWLZWL\$25 pegged in March 2020. However, the gap between formal market exchange rate and the alternative foreign exchange market rate has persistently widened thereby creating further distortions in the market.

5.5.2 During the quarter under review, inflation remained on an upward trajectory spiking from 176% in June 2019 to 676.39% in March 2020.

5.5.3 Month-on-month inflation averaged 14.11% during the quarter under review. Inflation is expected to continue to be largely influenced by speculative tendencies by economic agents especially around exchange rate movements. Furthermore, the COVID-19 pandemic has created supply-side disruptions thereby exacerbating inflationary forces.

Trends in the Real Estate Market

5.6.1 Property valuations in the United States dollar officially ended on 24 June 2019 following the gazetting of S.I 142 of 2019. This resulted in valuation inconsistencies especially for entities that had just concluded their annual valuations. Audited Zimbabwe dollar property revaluations are expected by 30 June 2020.

5.6.2 The property market has continually suffered from rental arrears, low occupancy ratios and rental adjustments lagging inflation rates. In order to protect tenants, the Government gazetted Statutory Instrument 96 of 2020 to cushion tenants from the effects of Covid-19. The foregoing factors compromise policyholder benefits and values.

Trends on the ZSE

5.7.1 During the review period, the equities market was largely bullish, registering a 98.3% growth in market capitalisation from ZWLZWL\$29.767 billion at the beginning of the quarter to ZWLZWL\$59.038 billion by the end of the quarter.

Trends in the Money Market

5.8.1 Nominal monthly deposit rates for money market investments varied from 3.55% to 14.99 % against real negative returns of up to 86.66% and annual inflation rate of 676.39%. The Central bank also took a soft stance on its Overnight lending rate from 35% to 15% as the effects of Covid-19 took its toll.

6. Regulatory and Supervisory COVID-19 Measures

6.1. In response to the COVID-19 Pandemic, the Commission, in liaison with the industry instituted a number of measures to ensure business continuity and sustainability of the insurance and pensions industry.

6.2. Some of the measures instituted include the following:

a) Call for business continuity plans from the industry through Circular 6 and Circular 8 of 2020. The main purpose of the Circulars, was to ensure the following:-

- Business continuity and avoiding disruptions and delays in processing of benefits;
- Continued accessibility of the industry to policyholders and pension scheme members to ensure timely payments of benefits and resolution of members' queries and enquiries;
- Meeting of regulatory reporting obligations including filing of quarterly and annual returns; and
- Conducting of impact assessment of the pandemic on the industry.

b) Extension of deadlines for statutory returns. In view of the lockdown measures which resulted in most of industry staff working remotely from homes, the Commission extended the deadline for industry's submission of quarterly returns.

c) Selective suspension of pension contributions. Following disruptions in business operations which resulted in labour market interruptions, the Commission received and approved suspensions of pension contributions for some funds whose sponsoring employers

were facing difficulties until such a time when the economy returns to normalcy.

d) Suspension of on-site inspections – the Commission suspended all onsite inspections and shifted focus to offsite inspections. The offsite inspections will inform future onsite inspections once the pandemic has been contained.

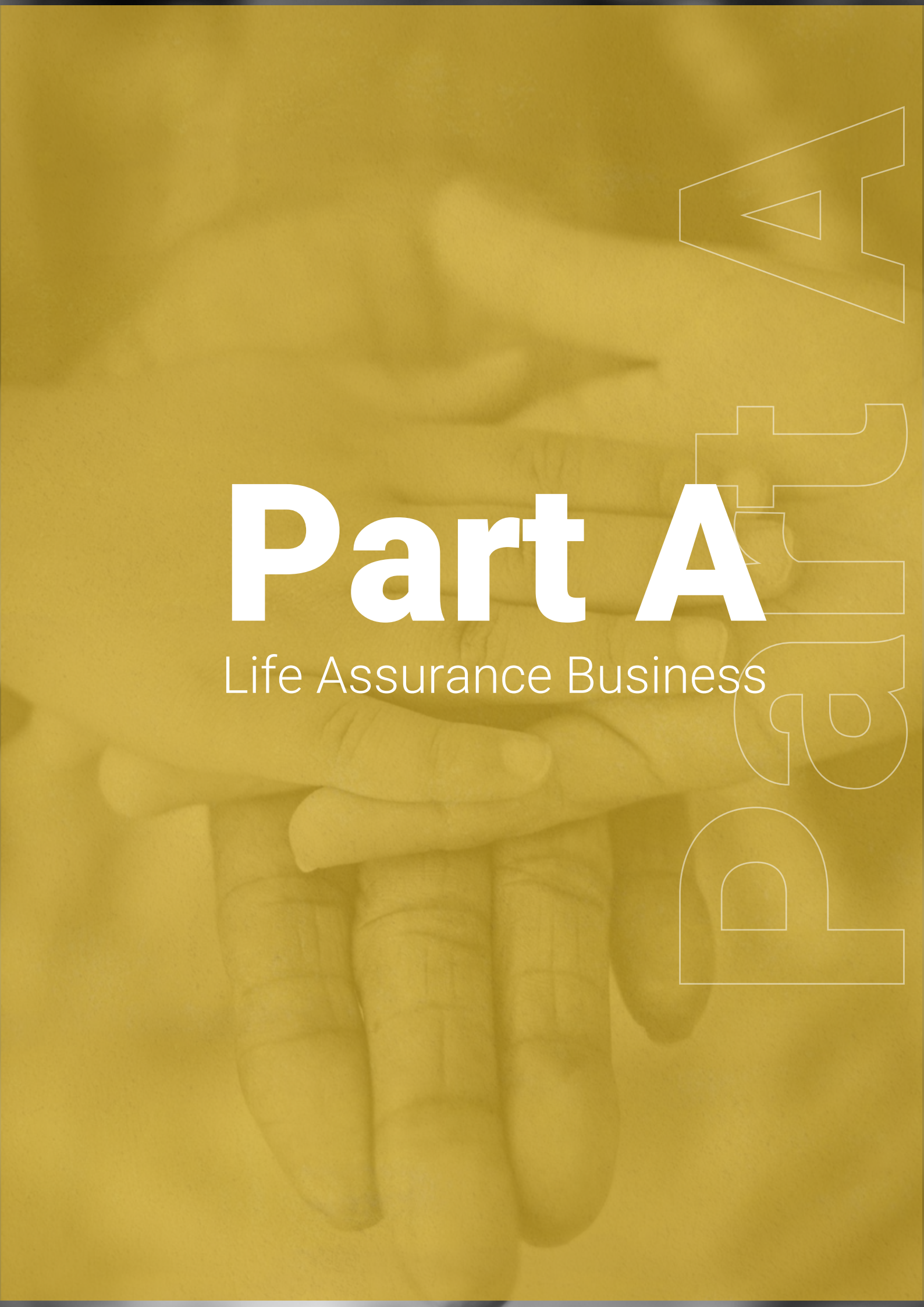
e) Adoption of virtual meetings with the Commission's clients and stakeholders, which has become the new normal under the current environment. The Commission is set to conduct its virtual Annual General Meeting on 30 June 2020.

f) Identified risks associated with the pandemic and came up with mitigatory measures as part of the Commission's risk matrix.

g) Supervisory information exchanges with other regulators under the auspices of the International Association of Insurance Supervisors (IAIS) and the International Organisation of Pension Supervisors on measures being implemented in response to the COVID-19 pandemic.

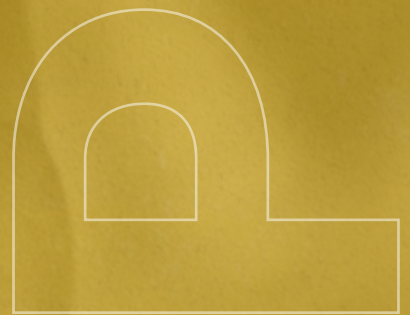
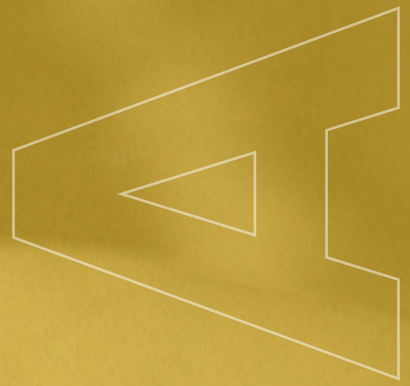
h) Coordinated industry's support to Government towards COVID-19 combative efforts following the declaration of the pandemic as a national disaster. The Commission facilitated industry's meetings with the Inter-Ministerial Committee on COVID-19, which is chaired by the Hon. Vice President, Cde. K.C. Mohadi and donations to Government.

6.3. The Commission will continue to monitor the impact of the pandemic on the industry, policyholders and pensioners, with a view to informing regulatory and supervisory interventions.



Part A

Life Assurance Business



7. Performance in terms of Gross Premium Written

7.1 Gross premium written by direct life assurers grew by 426% in nominal terms from ZWL\$110 million for the quarter ended 31 March 2019 to ZWL\$578 million for the quarter ended 31 March 2020 (See Table 3 below). On an inflation adjusted basis, the growth in GPW was negative 32.27 %.

7.2 The negative real growth in GPW is attributable to a lower rate of increase in GPW as compared to the rate of increase in inflation.

7.3 The main drivers of growth in GPW for the quarter ended 31 March 2020 were fund business and funeral assurance business.

7.4 Growth in business from traditional life assurance products remains lacklustre, with growth rates well below annual inflation rate which stood at 676.39% as at the end of March 2020.

7.5 This underscores the need for life assurers to be innovative and come up with value adding life assurance products that appeal to the insuring public, especially in this inflationary environment.

7.6 The table below shows the growth in business written by product line.

Table 3: Business composition by product line

Product	Mar-20 (ZWL\$000)	Mar-20 (Inflation adjusted ZWL\$000)	Mar-19 (ZWL\$000)	Growth (Inflation adjusted %)
Annuities	19,350	2,492	11,473	-78.28
Term Assurance	6,452	831	3,238	-74.34
Endowment	3,502	451	1,514	-70.21
Pure Endowment	886	114	795	-85.65
Whole Life	2,878	371	3,147	-88.22
Funeral	304,941	39,277	37,010	6.12
Fund Business	175,290	22,578	40,069	-43.65
Other/ GLA	64,278	8,279	12,617	-34.38
Total	577,577	74,393	109,863	-32.39

7.7 In terms of business composition, 83% of the total Gross premium written was generated from fund business and funeral

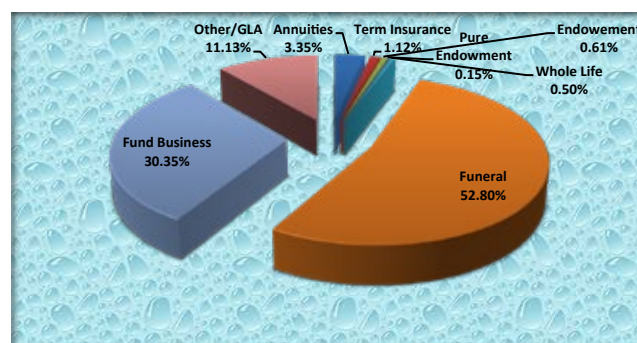
assurance business. These two product lines remain the major sources of business for life assurance companies.

7.8 Funeral assurance policies continue to dominate life assurance product lines because of their defined benefit nature.

7.9 Traditional life assurance products which include term assurance, endowment policies, pure endowment and whole of life, accounted for a small proportion of business generated during the quarter.

7.10 This reflects low appetite for traditional life assurance products by the market (See figure 1 below).

Figure 1: Distribution of Business



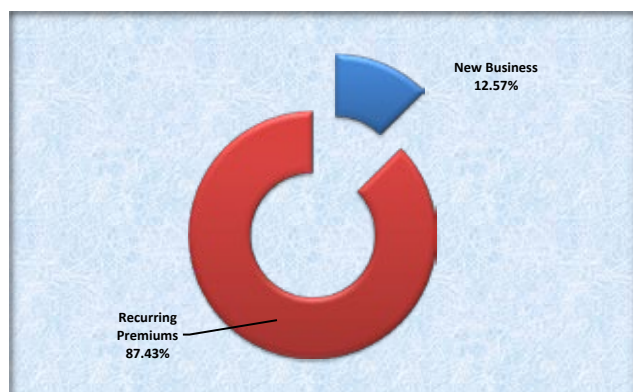
7.11 On breakdown of business by source, the life assurance sector's GPW for the quarter ended 31 March 2020 was skewed towards recurring business which accounted for 87% of total business written.

7.12 The low GPW generated from new business is a reflection of the prevailing volatile macro-economic environment which discourages the uptake of life assurance policies (See figure 2).

7.13 The sector is encouraged to be innovative in aligning the traditional life assurance products to policyholder expectations in terms of value preservation and relevance in light of the obtaining macroeconomic environment.

7.14 This is important given the legacy issues surrounding the loss of value suffered by policyholders and pension fund members, which occurred on pre-2009 policies.

Figure 2: Business Composition for Life Insurers



7.15 For the quarter ended 31 March 2020, the life assurance sector reported 5,826 Not Taken Up (NTU) policies, with a total nominal gross premium of ZWL\$5.1 million (See Table 4 below).

7.16 The premium lost on Not Taken Up (NTU) policies is significant, considering the value of new business of ZWL\$72.6 million reported for the quarter ended 31 March 2020.

Table 4: Not Taken Up Policies

Company	Number of Policies	Nominal Gross Premium ZWL\$(000)
CBZ	28	1
Doves**	-	-
Econet	1,550	2
Evolution	-	-
Fidelity	368	15
First Mutual	221	140
Nhaka	201	4
Heritage	94	2
Nyaradzo	-	-
Old Mutual	140	4,786
ZB	652	24
Zimnat	2,572	192
Total	5,826	5,166

7.17 As at 1 January 2020, the sector had a total of 2.4 million lapsable policies out of which 86,401 policies lapsed during the quarter ended 31 March 2020, translating to a lapse ratio of 3.57%.

7.18 The lapse ratio of 3.57% compares favourably to the lapse ratio of 5.46% recorded for the comparative quarter ended 31 March 2019.

Table 5: Lapse ratios

Life Assurer	Number of lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
CBZ	58,358	912	-	-	1.56%
Doves**	-	-	-	-	0.00%
Econet	1,381,528	43,661	-	-	3.16%
Evolution	44,296	-	-	-	0.00%
Fidelity	3,117	3,348	-	-	107.41%
First Mutual	115,895	13,112	-	-	11.31%
Nhaka	22,693	234	-	-	1.03%
Heritage	49	1,358	-	-	3.60%
Nyaradzo	665,903	16,168	-	-	2.43%
Old Mutual	76,675	2,832	-	-	3.69%
ZB	9,076	893	-	-	9.84%
Zimnat	39,508	3,883	-	-	9.83%
Total	2,417,098	86,401	-	-	3.57%

8. Capitalisation

8.1 The introduction of currency reforms which culminated in the introduction of the Zimbabwe dollar as the mono-currency for the country in June 2019, necessitated the review of the Minimum Capital Requirements (MCR) of US\$5 million and re-alignment to the new monetary developments in the country.

8.2 This led to the review of the MCR culminating in the gazetting of Statutory Instrument 59 of 2020 by the Minister of Finance and Economic Development on the 6th of March 2020.

8.3 As at 31 March 2020, 9 out of 12 primary life insurers reported capital positions that were compliant with the MCR of ZWL\$75 million.

8.4 Non-compliant entities have been directed to develop capitalisation compliance roadmaps which the Commission is closely monitoring to ensure compliance.

8.5 In this regard, non-compliant players are encouraged to follow through their

capitalisation roadmaps to ensure compliance.

8.6 Adequate capitalisation is crucial for resilience and policyholder protection in times of financial distress including high claims experience.

Table 6: Trends in the Capital Positions for life assurance companies

Company	Capital Position Trend						
	2020 Q1	2019 Q4	2019 Q3	2019 Q2	2019 Q1	2018 Q3	2018 Q4
CBZ	146,367	106,337	105,915	57,241	21,000	19,817	21,192
Doves*	240,952	51,705	44,733	0	0	0	0
Econet	125,898	79,928	66,207	41,092	24,031	15,668	23,812
Evolution	40,362	49,203	7,939	5,823	6,190	3,202	3,175
Fidelity	179,691	5,917	6,937	4,379	2,508	3,999	2,955
First Mutual	202,044	818,410	226,292	83,547	85,466	74,691	76,643
Nhaka	23,468	11,271	7,939	9,396	6,417	5,391	5,265
Heritage	744	1,047	834	712	786	713	706
Nyaradzo	837,554	61,509	29,553	15,185	9,165	17,192	19,426
Old Mutual	1,751,768	949,027	954,529	679,260	389,063	320,877	442,474
ZB	300,623	253,396	48,339	48,757	47,335	16,590	17,320
Zimnat	121,512	117,348	59,988	52,354	28,332	27,532	28,378
Total	3,970,983	2,505,098	1,559,205	997,746	620,293	505,672	641,346

Please note that Doves was regularised as a life assurer in the third quarter of 2019

8.7 All players are encouraged to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017.

9. Asset quality

9.1 In nominal terms, total assets for the sector grew by 55% from ZWL\$13.7 billion reported as at 31 December 2019 to ZWL\$21.2 billion reported as at 31 March 2020. ‘

9.2 In real terms, the asset base for life assurers grew by 22.66% to an inflation adjusted amount of ZWL\$16.77 billion.

9.3 The growth, which was higher than the rise in month-on-month inflation, was driven by an increase in the value of fixed properties and equities.

9.4 The increase in the value of equities was attributable to the bull-run on the Zimbabwe Stock Exchange (fair value adjustments) while the increase in the value of fixed properties was on account of property revaluations in the wake of currency reforms.

9.5 Fixed properties and equities constituted 76.39% of the total assets for

life assurers.

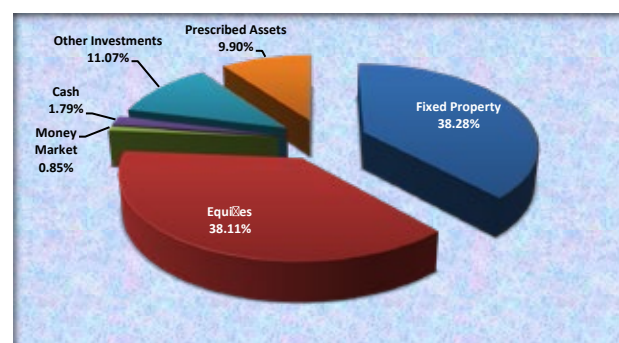
9.6 Concentration of the sector assets in long term investments reflects the general nature of liabilities for the sector which are long term in nature.

9.7 In terms of asset allocation, the sector was considered generally compliant with circular 1 of 2013.

9.8 Life assurance entities are, therefore, encouraged to continuously adhere to the requirements of circular 1 of 2013 and align their investment policy statements to the dictates of the circular and their liability profiles.

9.9 Figure 3 below shows the asset breakdown for the life assurance sector as at 31 March 2020.

Figure 3: Assets breakdown



* Other investments below include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares

Prescribed Assets

9.10 Following the review of prescribed asset requirements, Statutory Instrument 206 of 2019 was gazetted in November 2019.

9.11 S. I. requires life assurers to have a minimum of 15% of their assets invested in prescribed asset securities.

9.12 Total investments in prescribed assets by the life assurance sector

amounted to ZWL\$2.1 billion translating to a compliance level of 9.90% as at 31 March 2020.

9.13 All the twelve (12) life assurance players reported prescribed asset ratios that were below the minimum required threshold.

9.14 Life assurance entities have been engaged to submit prescribed asset compliance plans and the Commission is now closely monitoring implementation to achieve compliance.

9.15 Prescribed assets investments are an important resource mobilisation tool for funding infrastructure development and other projects of national interests, to foster socio-economic development towards a middle-income economy and the attainment of Vision 2030.

10. Reassurance

10.1 The Reassurance ratio for the life assurance sector at 1.27% continues to be low on account of a significant GPW portion generated from fund and funeral assurance businesses which are traditionally not reassured.

10.2 However, as part of their underwriting risk management, life assurers are encouraged to consider reducing their retention levels, given the levels of under-capitalisation in the sector.

10.3 Reassurance is an important risk management mechanism especially during periods of high claims experience and hence should be embraced for prudent risk management.

11. Earnings

11.1 In nominal terms, total profit after tax for life assurers increased from negative ZWL\$248 million for the quarter ended 31 March 2019 to a positive ZWL\$6.37 billion for the quarter ended 31 March 2020 (See Annexure 1).

11.2 This translates to an inflation adjusted increase of 431.44%, indicating that the sector recorded a real growth in profit after tax.

11.3 The increase was mainly because of significant increases in investment income from a negative ZWL\$0.279 billion reported in the quarter ended 31 March 2019 to a positive ZWL\$6.203 billion for the quarter ended 31 March 2020.

11.4 The combined ratio for the life assurance sector increased from 75% for the quarter ended 31 March 2019 to 84% for the comparable period in 2020 (See annexure 1), indicating a decrease in underwriting profits in real terms.

11.5 In nominal terms, underwriting profit for the sector increased by 212% from ZWL\$34 million for the quarter ended 31 March 2019 to ZWL\$104 million for the quarter ended 31 March 2020.

12. Liquidity

12.1 As at 31 March 2020, current assets reported by the life assurance sector amounted to ZWL\$1.093 billion as compared to ZWL\$718 million reported as at 31 December 2019.

12.2 Current liabilities amounted to ZWL\$950 million and ZWL\$625 million translating to working capital of ZWL\$143 million and ZWL\$93 million as at 31 March 2020 and 31 December 2019 respectively.

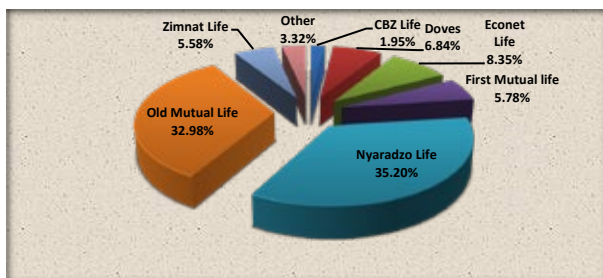
12.3 The life assurance sector's average current ratio was 115% as at 31 March 2020 showing sufficient liquidity to cover short-term contractual obligations as they fall due.

13. Market Share

13.1 In terms of GPW, two players dominated the sector with a total market share of 68.18% while the remaining players shared the balance.

13.2 Figure 4 below shows the market share distribution for the life assurance sector in terms of GPW.

Figure 4: Market Share in terms of GPW

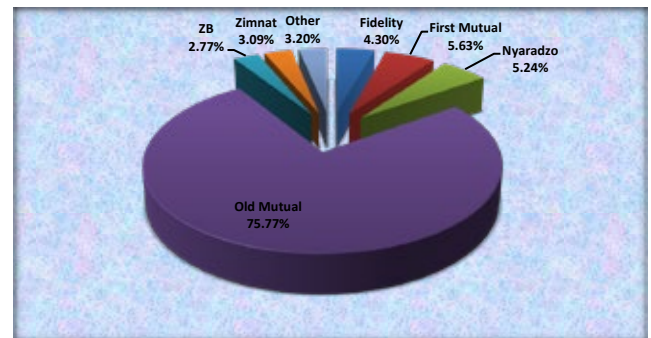


*Other comprises Evolution Life, Fidelity Life, ZB Life, Heritage Life and Nhaka Life

13.3 In terms of total assets, one player dominated the sector with a share of 75.77% while the remaining 11 players shared the remaining 24.23%.

13.4 Figure 5 below shows the distribution of assets by entity.

Figure 5: Distribution of assets per by player.



*Other comprises Econet Life, Doves Life, Evolution Life, Heritage Life, CBZ Life, and Nhaka Life



Part B

Life Reassurance Business

14. Nature of the reinsurance business

14.1 While all reinsurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions which comprise both life and non-life business.

14.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

14.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

15. Performance in terms of Business Written

15.1 The volume of life reinsurance business written, in terms of Gross premium written (GPW), increased by 435% from ZWL\$2.1 million reported as at 31 March 2019 to ZWL\$11.3 million for the quarter ended 31 March 2020 (See table 8 below).

15.2 The growth was attributable to an increase in group life assurance business by the life reinsurers and an increase in premiums in response to increase in inflation.

15.3 In real terms, the sector experienced a negative growth of 31.05% from ZWL\$2.1 million to inflation adjusted GPW of ZWL\$1.46 million.

Table 7: Breakdown of GPW for reinsurance

Company	Mar - 20	Mar-20 (Inflation adjusted GPW)	Mar-19 GPW	Growth in GPW %
Emeritus Re	5,959	768	1,234	-37.80
FBC Re	3,149	406	196	106
FM Re	1,691	218	341	-36,123
Zep Re	555	71	350	-79.58
Total	11,354	1,462	2,121	-31.05

16. Capitalisation

16.1 Following the review of Minimum Capital Requirements (MCR) for the insurance sector, the Minister of Finance and Economic Development gazetted Statutory Instrument 59 of 2020 on the 6th of March 2020. The S. I. operationalised the new MCR of ZWL\$112.5 million for composite life reinsurers.

16.2 As at 31 March 2020, 2 registered life reinsurers reported capital positions which were compliant with the new minimum capital requirement.

16.3 The reported capital positions were, however, not adjusted for inadmissible assets as required by Statutory Instrument (SI) 95 of 2017.

16.4 Adequate capitalisation is critical for protection of policyholders and maintenance of the sector's financial stability.

Table 8: Trend in the Capital Position for Composite Reinsurers

Company	Mar-20 (ZWL\$000)	Dec-19 (ZWL\$000)	Sep-19 (ZWL\$000)	Jun-19 (ZWL\$000)	Mar-19 (ZWL\$000)
Emeritus Re	90,491	96,891	106,578	67,174	53,767
FBC Re	133,066	166,013	55,343	49,917	53,556
FM Re	54,514	29,613	21,844	11,521	8,330
Zep Re**	241,852	172,127	144,224	2,918	9,230
Total	519,950	464,644	327,989	131,530	124,883

***Please note, the capital positions above comprises of both life and non-life reinsurance business (Composite Reinsurance Business).**

17. Asset Quality

17.1 Total assets for life reassurers amounted to ZWL\$332 million as at 31 March 2020, reflecting a 74% increase from ZWL\$191 million reported as at 31 December 2019.

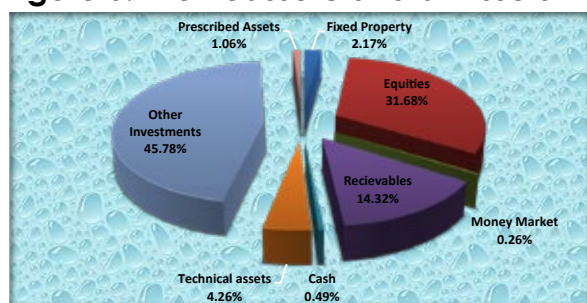
17.2 After adjusting for inflation, the sector's asset base grew by 37.46% from ZWL\$190.77 million as at 31 December 2019 to inflation adjusted ZWL\$262.23 million as at 31 March 2020.

17.3 The growth in total assets was mainly due to increased equity values on account of significant fair value adjustments.

17.4 Equities constituted 34.68% of the total assets whereas other investments constituted about 45.78%.

17.5 Liquid assets such as money market instruments and cash constituted only 0.26% of the total assets. The low percentage of liquid assets is inconsistent with the short-term contracts of life reinsurance, which require frequent pay-offs.

Figure 6: Life Reassurers Total Assets



* Other investments below include plant and equipment, deferred tax asset, deferred acquisition costs and unquoted shares.

17.6 Cash and near cash assets for the sector declined sharply by 89.29% from ZWL\$8.69 million as at 31

December 2019 to ZWL\$0.93 million as at 31 March 2020.

17.7 As at 31 March 2020 the sector's asset base was mainly concentrated in equities and other investments, constituting 77.46% of total assets.

17.8 Under the current inflationary environment, sector players are encouraged to invest in value preserving assets to protect policyholder funds.

Prescribed Assets

17.9 As at 31 March 2020, all life reassurers were non-compliant with the prescribed asset ratio of 15%.

17.10 The sector reported an average prescribed asset ratio of 1.16%, showing a decrease of 7.38% from 8.54% reported as at 31 March 2020 (See table 10 below).

17.11 Compliance with minimum prescribed asset ratio is a statutory requirement and entities should always be compliant.

17.12 The Commission has engaged all life reassurers to submit prescribed asset compliance plans whose implementation, the Commission is close monitoring.

17.13 Table 10 below shows the life reinsurance players prescribed asset ratios as at 31 March 2020.

Table 9: Prescribed assets ratios for sector players.

Reinsurer	Prescribed asset investments (ZWL\$000)	Total assets (ZWL\$000)	Prescribed asset ratio	Amount required to be compliant (ZWL\$000)	Variance in compliance
Emeritus Re	1,081	33,605	3.22%	5,041	-11.8%
FBC Re	2,760	265,353	1.04%	39,803	-14.0%
FM Re	10	23,004	0.04%	3,451	-15.0%
Zep Re	-	9,995	0.00%	1,499	-15.0%
Total	3,851	331,957	1.16%	49,794	-13.8%

18. Earnings

18.1 The Life reinsurance sector profit after tax increased by 10, 968% from ZWL\$0.23 million reported for the quarter ended 31 March 2019 to ZWL\$25.5 million for the quarter ended 31 March 2020.

18.2 In real terms, profit after tax for the life reinsurers increased by 1, 325.66% to ZWL\$3.28 million for the quarter ended 31 March 2020.

18.3 The increase in profit after tax is mainly attributable to significant increases in investments income, as well as significant increases in unrealised gains on equity investments.

18.4 In terms of underwriting profits, the reinsurance sector recorded a profit of ZWL\$1.8 million. The underwriting profit was mainly driven by high premium income, which was as a result of increases in the amount of group life assurance business from direct life insurers and a reduction in claims and commission costs in real terms.

18.5 The life reinsurance sector had a combined ratio of 78% for the quarter ended 31 March 2020 which was a slight increase from 74.24% reported for the quarter ended 31 March 2019.

18.6 The Commission encourages all the players to employ prudent cost cutting measures and widen their premium income streams so as to improve their combined ratios.

19. Liquidity

19.1 In nominal terms, current assets for life reinsurers amounted to ZWL\$150 million and ZWL\$204 million as at 31 December 2019 and 31 March 2020

respectively.

19.2 Current liabilities for the two reporting periods amounted to ZWL\$85 million and ZWL\$151 million translating to working capital positions of ZWL\$65 million and ZWL\$53 million respectively, indicating a decrease of 22.64%.

19.3 This decrease in working capital for the sector translates to a decrease in the liquidity of the sector, as shown by a decrease in sector average current ratio from 177% as at 31 December 2019 to 135% for the quarter ended 31 March 2020.

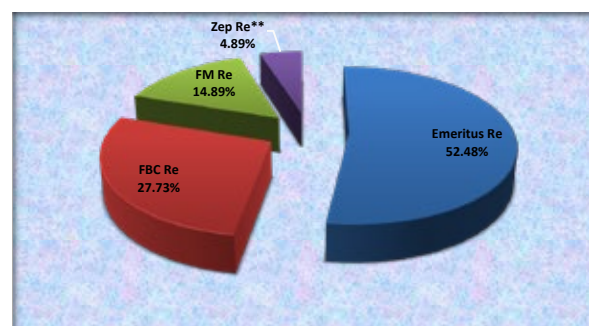
19.4 Though liquidity for the sector has decreased, the sector still holds enough current assets to cover its current liabilities.

20. Market Share

20.1 GPW for the life reinsurance sector remains concentrated in two players, accounting for a combined market share of 80.21% while the other 2 players accounted for the remaining 19.76%

20.2 The breakdown of the market share of sector players in terms of GPW is shown in figure 7.

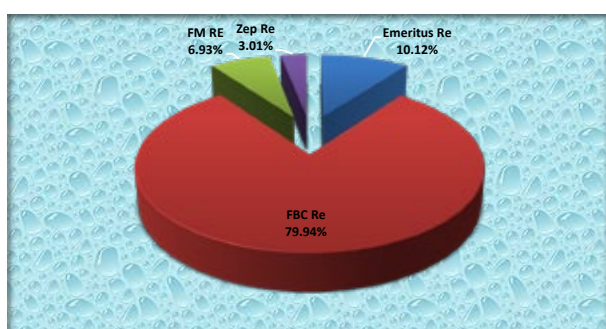
Figure 7: Market Share by Gross premium written



20.3 In terms of total assets, one player accounted for 79.94% of the total assets, while the other 3 players accounted for the remaining 20.06% of the sector total assets.

20.4 Breakdown of sector assets by players is shown in figure 8 below.

Figure 8: Market Share distribution in terms of total assets



*other comprises of Grand Re, FM Re and Zep Re

21. Complaints handled by the Commission during the quarter

21.1 During the period under review, the Commission received 12 complaints, nine (9) of which were resolved while three (3) were still under investigation.

21.2 Resolved complaints related to delay and non-payment of benefits for policies that were USD-denominated before reintroduction of the Zimbabwe dollar as well as premium increases particularly for funeral products.

21.3 On delay and non-payment of benefits, the Commission engaged life assurers, some of whom provided proof that they had actually paid the benefits while others paid the benefits after engagement with the Commission.

21.4 On USD-denominated policies that were contracted during the multicurrency era, the Commission has since issued Statutory Instrument 69 of 2020 directing the sector to redistribute revaluation gains following currency reforms. The revaluation gains are to be redistributed in terms of Section 3 (1) (a) of the S. I.

22. Conclusion

22.1 The Commission continues to encourage the life assurance sector to be up to date with all regulatory developments for compliance with all applicable laws, statutes, directives, guidelines and circulars on an ongoing basis.

22.2 Sector players are also encouraged to be highly innovative in terms of both product development as well as realignment of their business models to adapt to the unfolding realities in the market environment.

22.3 The Commission underscores the need for sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.

Annexures

Annexures

ANNEXURE 3. KEY PERFORMANCE INDICATORS FOR LIFE ASSURANCE COMPANIES													
Key Performance Indicator	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total/Average
Capital Adequacy													
Capital Position (\$ 000)	146,367	240,952	125,898	40,362	179,691	202,044	23,468	744	837,554	1,751,768	300,623	121,512	3,970,983
Capital Coverage Ratio (CCR)	195.16%	321.27%	167.86%	53.82%	239.59%	269.39%	31.29%	0.99%	1116.74%	2335.69%	400.83%	162.02%	441.22%
Equity/Total Assets Ratio	87.65%	91.52%	69.96%	97.52%	19.67%	16.91%	75.24%	58.54%	75.24%	10.89%	51.08%	18.52%	18.70%
Solvency Margin	709.59%	1079.15%	232.86%	3922.48%	24.49%	20.36%	1070.13%	140.91%	303.88%	12.22%	104.39%	22.73%	23.01%
Asset Quality													
Total Assets (\$ 000)	166,996	263,280	179,965	41,390	913,492	1,194,486	25,661	1,271	1,113,172	16,085,234	588,590	656,057	21,229,594
Investments to Total Assets	13.21%	0.01%	49.65%	62.53%	41.77%	32.29%	2.32%	0.68%	82.48%	0.68%	82.48%	38.20%	8.37%
Non-Interest Generating Assets/Total A	91.47%	98.45%	38.74%	98.57%	99.13%	98.29%	97.73%	97.64%	99.43%	97.64%	99.43%	96.14%	97.22%
Fixed Assets/Total Assets	89.57%	89.13%	37.05%	98.45%	90.48%	97.15%	99.00%	67.43%	79.72%	96.95%	99.12%	86.25%	94.85%
Prescribed Assets Ratio	1.03%	0.01%	5.40%	0.01%	8.74%	6.05%	1.25%	11.79%	0.37%	11.95%	0.81%	1.19%	9.90%
Premium Debtors/Gross Premium	11.33%	0.39%	6.29%	7.07%	125.28%	19.48%	7.45%	-17.87%	16.23%	45.79%	18.27%	184.46%	34.97%
Premium Debtors/Total Assets	0.76%	0.06%	1.69%	0.13%	1.03%	0.54%	2.97%	-3.30%	2.97%	0.54%	0.31%	9.07%	0.95%
Reinsurance													
Risk Retention Ratio	99.54%	100.00%	99.01%	99.86%	94.12%	99.09%	100.00%	98.72%	100.00%	97.90%	95.65%	95.03%	98.73%
Actuarial													
Total Assets/Total Reserves	1368.71%	0.00%	2278.90%	7417.56%	156.29%	123.97%	855350.00%	411.33%	614.64%	116.34%	224.06%	145.17%	130.18%
Earnings													
Profit After Tax (000)	38,897	10,611	36,736	-18	128,343	196,299	12,160	-303	2,120	5,825,381	23,579	99,581	6,373,386
Return on Equity	26.57%	4.40%	29.18%	-0.04%	71.42%	97.16%	51.82%	-40.73%	0.25%	332.54%	7.84%	81.95%	160.50%
Return on Assets	23.29%	4.03%	20.41%	-0.04%	14.05%	16.43%	47.39%	-23.84%	0.19%	36.22%	4.01%	15.18%	30.02%
Loss Ratio	14.87%	24.14%	43.64%	26.53%	24.49%	24.87%	20.11%	7.33%	34.30%	62.35%	55.31%	31.52%	42.66%
Net Commission Ratio	2.80%	8.44%	0.00%	23.13%	3.48%	3.40%	11.34%	5.60%	7.50%	0.67%	26.86%	7.43%	4.66%
Net Expense Ratio	84.67%	42.27%	0.88%	48.44%	43.74%	62.40%	119.43%	253.88%	35.39%	33.39%	103.09%	44.79%	36.81%
Combined Ratio	102.35%	74.85%	44.52%	98.10%	71.70%	90.67%	150.88%	266.81%	77.18%	96.40%	185.26%	83.74%	84.14%
Investment Income/NPW Ratio	48.65%	0.00%	69.82%	0.00%	1417.58%	551.50%	0.00%	8.19%	0.04%	3102.00%	6.80%	309.76%	112.00%
Investment Income/Total Financial Ass	21.81%	0.00%	30.24%	0.00%	25.83%	46.36%	0.00%	4.16%	0.22%	1443.78%	0.13%	35.62%	289.27%
Liquidity													
Working Capital	1,214	25,242	59,222	-17	-62,389	1,808	-1,938	195	126,049	-22,409	-20,889	2,537	142,679
Current ratio	107.49%	842.19%	209.54%	97.42%	75.42%	105.60%	11.65%	189.04%	226.45%	95.63%	19.91%	102.89%	115.01%
Liquid assets as a percentage of total a	8.53%	1.55%	61.26%	0.01%	0.87%	1.71%	0.30%	24.00%	2.27%	2.36%	0.57%	3.86%	2.78%
Market Shares													
Market Share Based on GPW	1.95%	6.84%	8.35%	0.13%	1.30%	5.78%	0.13%	0.04%	35.20%	32.98%	1.72%	5.58%	100%
Market Share Based on NPW	1.96%	6.93%	8.37%	0.13%	1.24%	5.80%	0.13%	0.04%	35.65%	32.70%	1.67%	5.37%	100%
Market Share Based on Total Assets	0.79%	1.24%	0.85%	0.19%	4.30%	5.63%	0.12%	0.01%	5.24%	75.77%	2.77%	3.09%	100%

ANNEXURE 1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 31 MARCH 2020 (000)

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total Q1 2020
Gross Written Premiums	11,259	39,504	48,221	736	7,489	33,398	752	235	203,346	190,535	9,951	32,255	577,681
Reinsurance Premiums	52	-	476	1	440	303	11	3		4,006	433	1,603	7,328
Net Written Premiums	11,207	39,504	47,745	735	7,049	33,095	741	232	203,346	186,529	9,518	30,652	570,353
Increase/(Decrease) in UPR	507	-		3				1	59,894				60,405
Net Earned Premiums	10,700	39,504	47,745	732	7,049	33,095	741	231	143,452	186,529	9,518	30,652	509,948
Transfer to IBNR	240	3,950	3,908	10		-	40		-			348	8,496
Claims paid	1,348	5,587	16,926	185	1,726	8,800	105	17	69,741	116,298	4,795	6,585	232,113
Outstanding claims	79	-				(569)	4		-		469	2,729	2,712
Net claims	1,667	9,537	20,834	195	1,726	8,231	149	17	69,741	116,298	5,264	9,662	243,321
Net Commission Incurred	314	3,335	-	170	245	1,124	84	13	15,242	1,246	2,557	2,276	26,606
Technical Result	8,719	26,632	26,911	367	5,078	23,740	508	201	58,469	68,985	1,228	18,714	239,552
Operating Expenses	9,489	16,698	(772)	356	3,083	20,652		589		62,275	9,812	12,613	134,795
Underwriting Result	(770)	9,934	27,683	11	1,995	3,088	508	(388)	58,469	6,710	(8,584)	6,101	104,757
Management expenses	-	-	1,194				885		71,958			1,116	75,153
Investment Income	5,452	-	33,336		99,925	182,520		19	91	5,786,133	647	94,948	6,203,071
Unrealised Gains/Losses		-					10,292						10,292
Other expenses	2,000	-	22,391	29	2,010	1,973	-	(57)	5,854			11	34,211
Other Income	36,236	677	40		28,433	13,575	2,245	9	21,300	50,800	31,671	-	184,986
Profit Before Tax	38,918	10,611	37,474	(18)	128,343	197,210	12,160	(303)	2,048	5,843,643	23,734	99,922	6,393,742
Taxation	21	-	738		-	911		-	(72)	18,262	155	341	20,356
Profit After Tax	38,897	10,611	36,736	(18)	128,343	196,299	12,160	(303)	2,120	5,825,381	23,579	99,581	6,373,386
Transfer to policyholders funds				2	42,580	189,790				4,999,489	23,223	92,456	5,347,540
Dividends					-	-				-			-
Retained Income	38,897	10,611	36,736	(20)	85,763	6,509	12,160	(303)	2,120	825,892	356	7,125	1,025,846

ANNEXURE 2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 31 MARCH 2020 (000)													
	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
ASSETS													
Non-Current Assets													
Intangible assets	73		6,156	62							30,857	88	37,236
Property and equipment	32,949	25,426	12,133	3,578	87,054	6,833	691	38	726,108	11,019	4,239	5,169	915,237
Investment property	104,085	206,732	38,439	11,222	351,102	698,029	17,000	662	64,381	6,758,233	46,303	319,385	8,615,573
Investments and securities	10,754			25,881	378,882	373,243	320	152	16,614	21,934	120,414	241,228	1,189,422
Investment assets	1,722	-	9,949	5		72,301	7,394		4,740	8,667,673	15,125		8,778,909
Investments in Associated Companies											364,786		364,786
Other Non-Current Assets		2,496			9,527	10,011	-	5	75,600	136,001	1,674		235,314
Total Non-Current Assets	149,583	234,654	66,677	40,748	826,565	1,160,417	25,405	857	887,443	15,594,860	583,398	565,870	20,136,477
Technical Assets													
Reinsurers' Share of O/S Claims				-									-
Deferred Acquisition Cost (DAC)	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Technical Assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Current Assets													
Cash & bank balances	2,939	4,042	20,909	6	5,299	8,030	76	155	16,019	291,469	3,088	15,928	367,960
Short term investments	11,308	30	89,346		2,687	12,441		150	9,238	87,361	286	9,372	222,219
Other investments		-				-							-
Premium Receivables	1,276	156	3,033	52	9,382	6,507	56	(42)	33,008	87,254	1,818	59,496	201,996
Intercompany Investments		-		584		-							584
Other current assets	1,890	24,398		-	69,559	7,091	124	151	167,464	24,290		5,391	300,358
Total Current Assets	17,413	28,626	113,288	642	86,927	34,069	256	414	225,729	490,374	5,192	90,187	1,093,117
TOTAL ASSETS	166,996	263,280	179,965	41,390	913,492	1,194,486	25,661	1,271	1,113,172	16,085,234	588,590	656,057	21,229,594
Liabilities													
Deferred Tax Liabilities		831		7		4,165			2,533	389,067	11,831		408,434
Future policyholders benefits	4,428	16,740		370	584,535	960,180		309	175,154	13,820,681	261,886	445,810	16,270,093
Short term loans	-	-				-							-
Long term loans		2,204			34,004				782	-		1,086	38,076
Current Tax provisions				8		379				-	713		1,100
Gross Outstanding Claims	1,091			12	(49)	2,523	3			5,883	810	2,293	12,566
IBNR	894		7,389	86		857	-					1,086	10,312
UPR	5,788		508	90			-		5,955			2,729	15,070
Creditors		(15)	44,819	203		5,971				46,185		29,661	126,824
Amount due to reinsurers			156	253		-							409
Other Liabilities	8,426	2,568	1,194	-	115,312	18,366	2,190	219	91,192	71,648	12,727	51,881	375,723
Total Liabilities	20,627	22,328	54,066	1,029	733,802	992,441	2,193	528	275,616	14,333,464	287,967	534,546	17,258,607
SHAREHOLDERS' EQUITY													
Share Capital	0	1,000	0	0	1,092	1	20	1,680	400	131	232	200	4,756
Share Premium	1,388		5,685	2,435	671	10,706	4,602			29,990	4,432	450	60,359
Revaluation & Other Reserves	28,728	3,273	15,982	34,160	3,708	2,014		1,163	3,840	14,410	46,571	2,479	156,328
Treasury shares					(10)						29,156		29,146
Prior years earnings	77,354	226,067	67,496	3,787	86,222	182,814	18,846	(1,796)	59,937	861,990	219,407	111,260	1,913,384
Current year retained	38,897	10,612	36,735	(20)	88,008	6,509		(303)	2,120	825,893	825	7,123	1,016,399
Minority Interest						-			771,257	19,354			790,611
Shareholders' Equity	146,367	240,952	125,898	40,362	179,691	202,044	23,468	744	837,554	1,751,768	300,623	121,512	3,970,983
TOTAL EQUITY & LIABILITIES	166,994	263,280	179,964	41,391	913,493	1,194,485	25,661	1,272	1,113,170	16,085,232	588,590	656,058	21,229,590

Business Composition Computation Life Insurers as at 31 March 2020																
Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)			
	New Business			Recurring Premiums			New Business			Recurring Premiums						
	Mar-19	Mar-20	Growth (%)	Mar-19	Mar-20	Growth (%)	Mar-19	Mar-20	Growth (%)	Mar-19	Mar-20	Growth (%)	Mar-19	March 2020 unadjusted figures	March 2020 Inflation adjusted	Growth (%)
CBZ Life	74	408	451.35%	1,867	3,809	104.02%	566	3,880	585.51%	432	3,162	631.94%	2,939	11,259	1,450	-50.66%
Doves	-	393	0.00%	0	7,460	0.00%	0	1,583	0.00%	0	30,070	0.00%	5,400	39,506	5,088	-5.77%
Econet Life	1,372	673	-50.95%	6,585	46,761	610.11%	0	-	0.00%	130	787	505.38%	8,087	48,221	6,211	-23.20%
Evolution Health and Life	2	2	0.00%	161	733	355.28%	0	-	0.00%	0	-	0.00%	163	735	95	-41.92%
Fidelity Life	305	75	-75.41%	965	2,646	174.20%	0	66	0.00%	2834	4,702	65.91%	4,104	7,489	965	-76.50%
First Mutual life	152	2,249	1379.61%	5025	9,096	81.01%	36	225	525.00%	6554	21,827	233.03%	11,767	33,397	4,302	-63.44%
Nhaka Life	31	118	280.65%	424	618	45.75%	0	-	0.00%	118	16	-86.44%	573	752	97	-83.10%
Heritage Life	8	4	-50.00%	197	228	15.74%	0	-	0.00%	0	4	0.00%	205	236	30	-85.17%
Nyaradzo Life	440	2,683	509.77%	20,602	138,582	572.66%	58	436	651.72%	8073	61,645	663.59%	29,173	203,346	26,191	-10.22%
Old Mutual Life	348	1,455	318.10%	4987	8,201	64.45%	10025	50,471	403.45%	26823	130,407	386.18%	42,183	190,534	24,541	-41.82%
ZB Life	17	250	1370.59%	1301	1,155	-11.22%	263	1,699	546.01%	1426	6,847	380.15%	3,007	9,951	1,282	-57.38%
Zimnat Life	420	764	81.90%	2907	5,725	96.94%	983	5,177	426.65%	3346	20,589	515.33%	7,656	32,255	4,154	-45.74%
TOTAL	3,169	9,074	186.34%	45,021	225,014	399.80%	11931	63537	432.54%	49,736	280,056	463.09%	109,857	577,681	74,406	-32.27%





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